

wait until 2006, scrap rates might be very low due to the large number of ships being scrapped at the same time. Thus, there is a dramatic increase in the scrapping rate for single hulled tankers whenever tanker rates go down.

It takes two to three years to get delivery of a new tanker. When demand comes back up again, inventory is very tight because capacity has been taken out and it can't be added back instantaneously. There is a definitive cycle. When rates go as low as \$6,000 and stay there for a few weeks, they can rise to astronomically high levels, say \$60,000 a day, very quickly. With Frontline, for about seven or eight weeks, the rates stayed at under \$10,000 a day and then spiked to \$80,000 a day in fourth quarter 2002. The worldwide fleet of VLCCs in 2002 was about 400 ships. Over the past several decades, worldwide oil consumption has increased by 2 percent to 4 percent on average annually. This 2 percent to 4 percent is generally tied to GDP growth. Usually there are 10 to 12 new ships added each year to absorb this added demand. When scrapping increases beyond normal levels, the fleet is no longer increasing by 2 percent to 4 percent. When the demand for oil rises, there just aren't enough ships. The only thing that's adjustable is the price, which skyrockets.

If rates stay high for long enough, orders for new ships increase. But the increases are constrained by shipyard capacity. Ship operators are leery of committing \$70 million for a ship that might be delivered three years from now in an environment where rates are unknown. Nonetheless, there are more orders placed when rates are high. Again the throttle here is that the scrapping of old ships escalates when rates plummet.

As Frontline's stock was plummeting, its chairman was buying stock hand over fist in the open market. That's always a good sign. I bought a great deal of Frontline stock in the fall of 2002 at an average price of \$5.90 per share, which is about half of the \$11 to \$12 per share you would get in a liquidation. Once we got past \$9, approaching \$10, I started to unload of the shares. The whole thing happened in a very short time period, resulting in a very high annualized rate of return. Pabrai Funds had a 55 percent return on the Frontline investment and an annualized rate of return of 273 percent. Not bad for a near risk-free bet based on boning up on the nuances of oil shipping by reading a few documents. This was better than the classic